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China Shenhua Energy | Asia Pacific

Preliminary 2Q26 earnings better than expected

Reaction to earnings

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Shenhua expects its 1H26 net profit to increase 7-21% YoY, to Rmb26.3-29.8bn, better than our expectation of Rmb26.0bn: This implies 2Q26 net earnings of Rmb15.6-19.1bn, up 23-51% YoY. Shenhua consolidated the 11 assets injected from China Energy group, so 1H26 net profit would change -4.7% YoY – +8.0% YoY on a restated basis. The better earnings reflected 1) higher YoY coal prices, especially in 2Q26; and 2) higher earnings contribution from the coal chemicals, railways, and ports businesses.

Earnings remain supported in 3Q26: Coal prices corrected recently in response to the lower daily burn rate at power plants owing to the rainy weather in multiple regions and higher inventory level at ports. As the plum rain season comes to an end, the peak in daily consumption and restocking demand from power plants, together with the still constrained supply in major coal producing provinces, would continue to provide support to thermal coal prices, leading to solid earnings for Shenhua.

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China Shenhua Energy (1088.HK, 1088 HK)

China Coal | China

Stock Rating	Overweight
Industry View	Cautious
Price target	HK\$48.30
Up/downside to price target (%)	14
Shr price, close (Jul 14, 2026)	HK\$42.30
52-Week Range	HK\$49.62-30.85
Sh out, dil, curr (mn)	3,377
Mkt cap, curr (mn)	US\$126,771
EV, curr (mn)	US\$117,942
Avg daily trading value (mn)	US\$77.79

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Revenue, net (Rmb bn)	295	407	407	410
EBITDA (Rmb bn)	103	123	121	121
ModelWare net inc (Rmb bn)	53	61	59	58
EPS (Rmb)**	2.66	3.02	2.90	2.85
EPS (Rmb)\$	2.66	2.86	2.87	2.86
P/E	13.1	12.1	12.6	12.8
P/BV	1.7	1.7	1.6	1.6
EV/EBITDA	7.0	6.5	6.5	6.5
ROE (%)	-	15.0	13.3	12.7
Div yld (%)	12.6	6.2	6.0	5.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

China Shenhua Energy (1088.HK)

Our price target is based on a residual income model. We apply a cost of equity 6.5%, calculated from a 0.67 beta, 1.8% risk-free rate and 7% equity risk premium; 10.1% WACC assuming ROE of 14% and terminal growth rate of 2%.

Risks to Upside

- Stronger-than-expected coal demand
- Higher-than-expected realized domestic coal prices
- Stronger contributions from non-coal business (i.e., power, rail and ports)

Risks to Downside

- Slower-than-expected coal demand
- Lower-than-expected realized domestic coal prices
- Weaker contributions from non-coal business (i.e., power, rail and ports)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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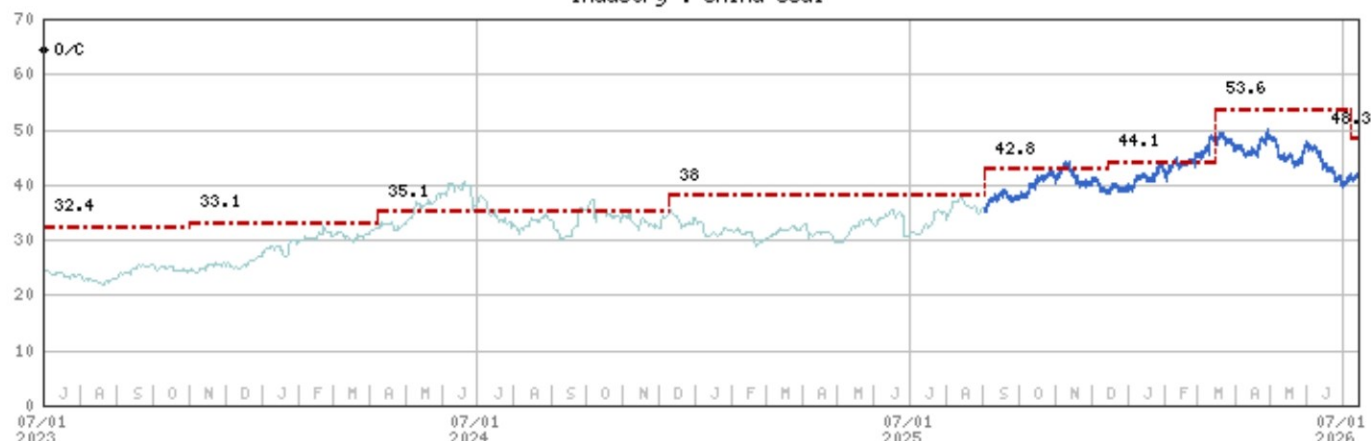
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Stock Price, Price Target and Rating History (See Rating Definitions)

China Shenhua Energy (1088.HK) - As of 07/14/26 GMT in HKD
Industry : China Coal



Stock Rating History: 7/1/21 : 0/I; 10/26/21 : 0/C

Price Target History: 12/10/20 : 20.69; 8/31/21 : 23.26; 3/30/22 : 26.36; 7/13/22 : 31.5; 1/4/23 : 32.6; 4/20/23 : 32.4; 11/1/23 : 33.1; 4/8/24 : 35.1; 12/10/24 : 38; 9/2/25 : 42.8; 12/16/25 : 44.1; 3/16/26 : 53.6; 7/9/26 : 48.3

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Coal

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Hannah Yang, CFA		
China Coal Energy Co., Ltd. (601898.SS)	E (03/16/2026)	Rmb13.25
China Coal Energy Co., Ltd. (1898.HK)	O (03/16/2026)	HK\$10.24
China Shenhua Energy (1088.HK)	O (11/02/2017)	HK\$42.30
China Shenhua Energy (601088.SS)	E (04/04/2019)	Rmb43.42
Shaanxi Coal Industry (601225.SS)	O (03/16/2026)	Rmb24.55
Shanxi Coking Coal (000983.SZ)	E (10/26/2021)	Rmb6.35
Yancoal Australia Ltd (3668.HK)	O (03/16/2026)	HK\$30.20
Yankuang Energy Group Co Ltd (1171.HK)	O (03/16/2026)	HK\$11.03
Yankuang Energy Group Co Ltd (600188.SS)	E (03/16/2026)	Rmb19.23
Rachel L Zhang		
Shougang Fushan Resources Group Limited (0639.HK)	O (09/15/2022)	HK\$2.24

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.